



BOEING'S ORGANIZATIONAL CHALLENGES & SOLUTIONS

Addressing Safety, Quality, and Leadership Failures for Long-Term Success

**Organizational Behavior, Leadership, and
Sustainability: Final Case Study Presentation**

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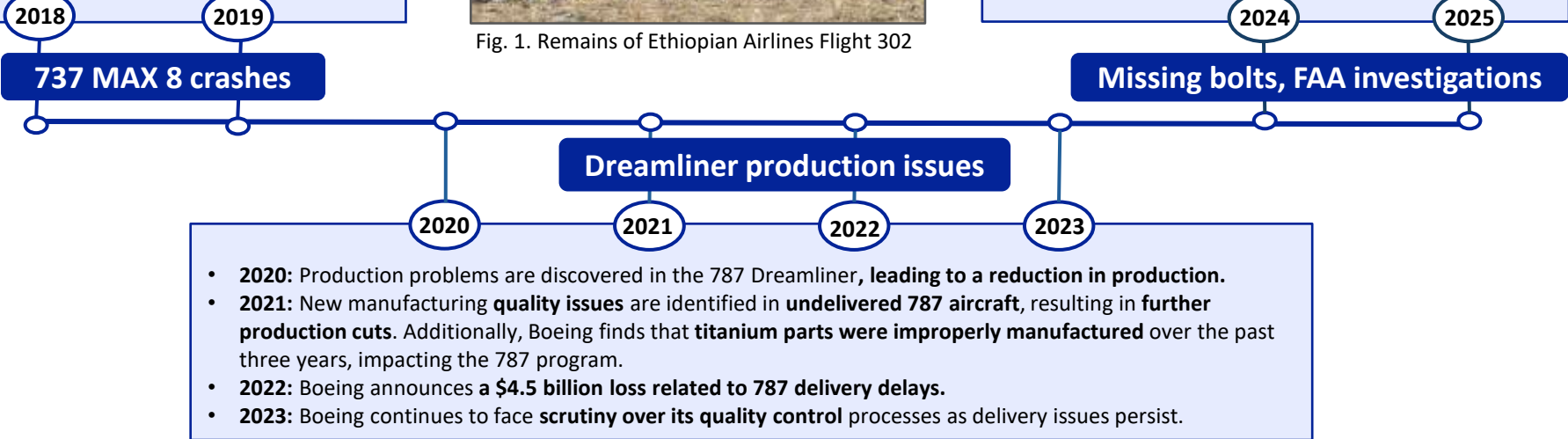
Boeing's Organizational Challenges

- The Boeing **737 MAX 8** crashed in two **consecutive years**, resulting in the **deaths of 346 people** on board.
- Global regulators **grounded all 737 MAX aircraft** until **December 2020**.

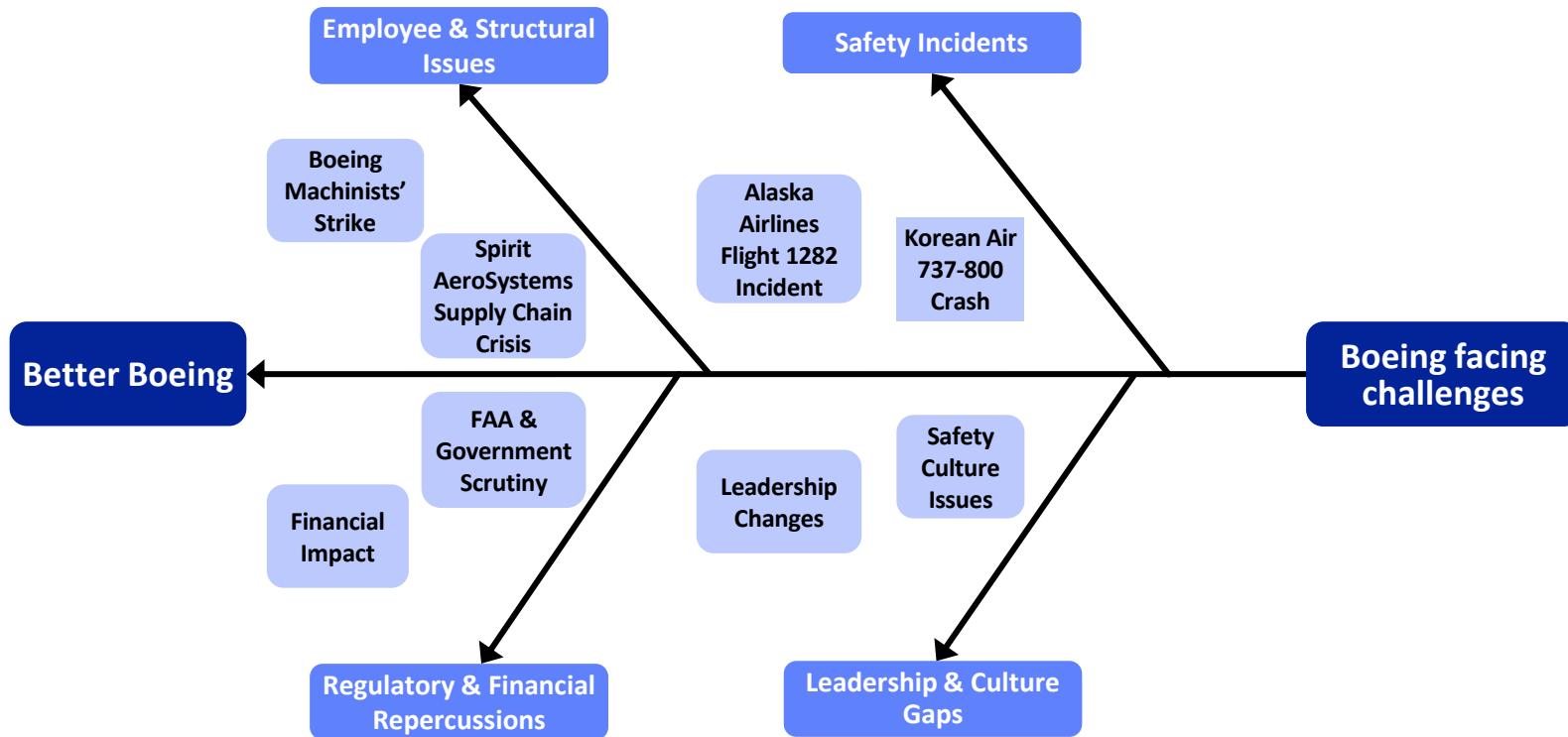


Fig. 1. Remains of Ethiopian Airlines Flight 302

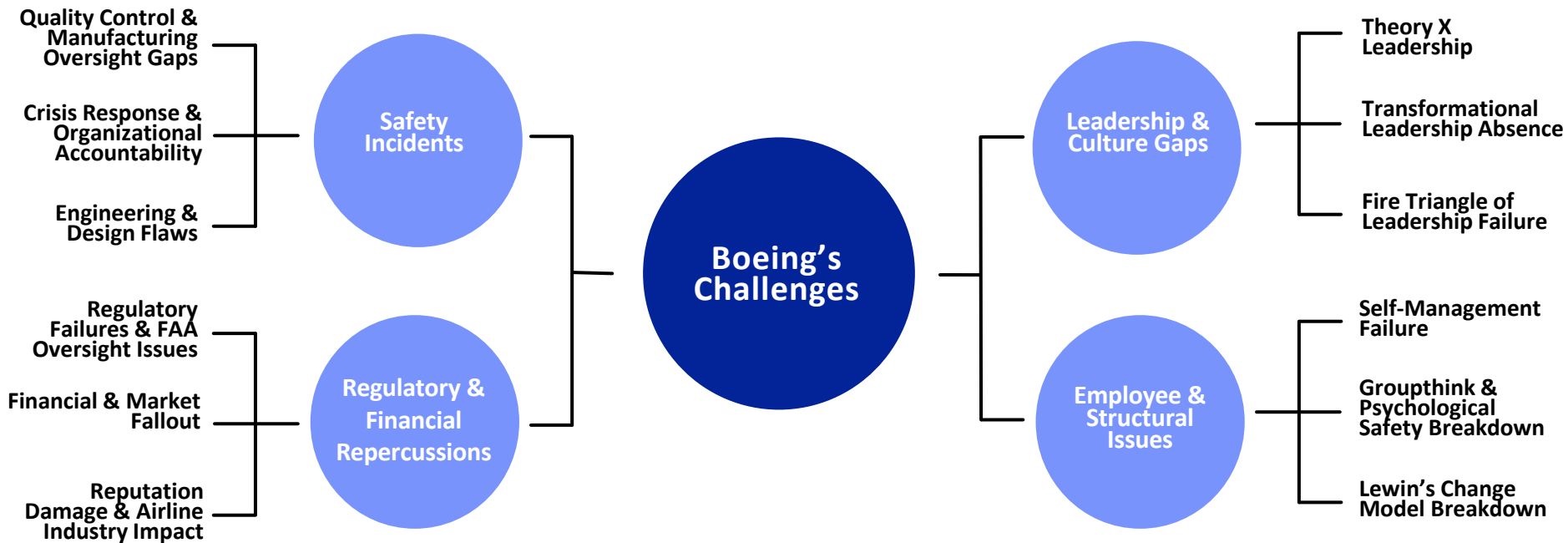
- **2024:** An Alaska Airlines 737 MAX 9 suffers a **mid-flight door plug blowout**, revealing missing bolts. The FAA grounds all 737 MAX 9 planes and gives Boeing 90 days to fix quality issues. About 50 undelivered jets require rework due to mis drilled fuselage holes.
- **2025:** **Investigation and regulatory scrutiny** continue as Boeing works to restore trust.



Root Causes of Boeing's Challenges



Root Causes of Boeing's Challenges – Cont.

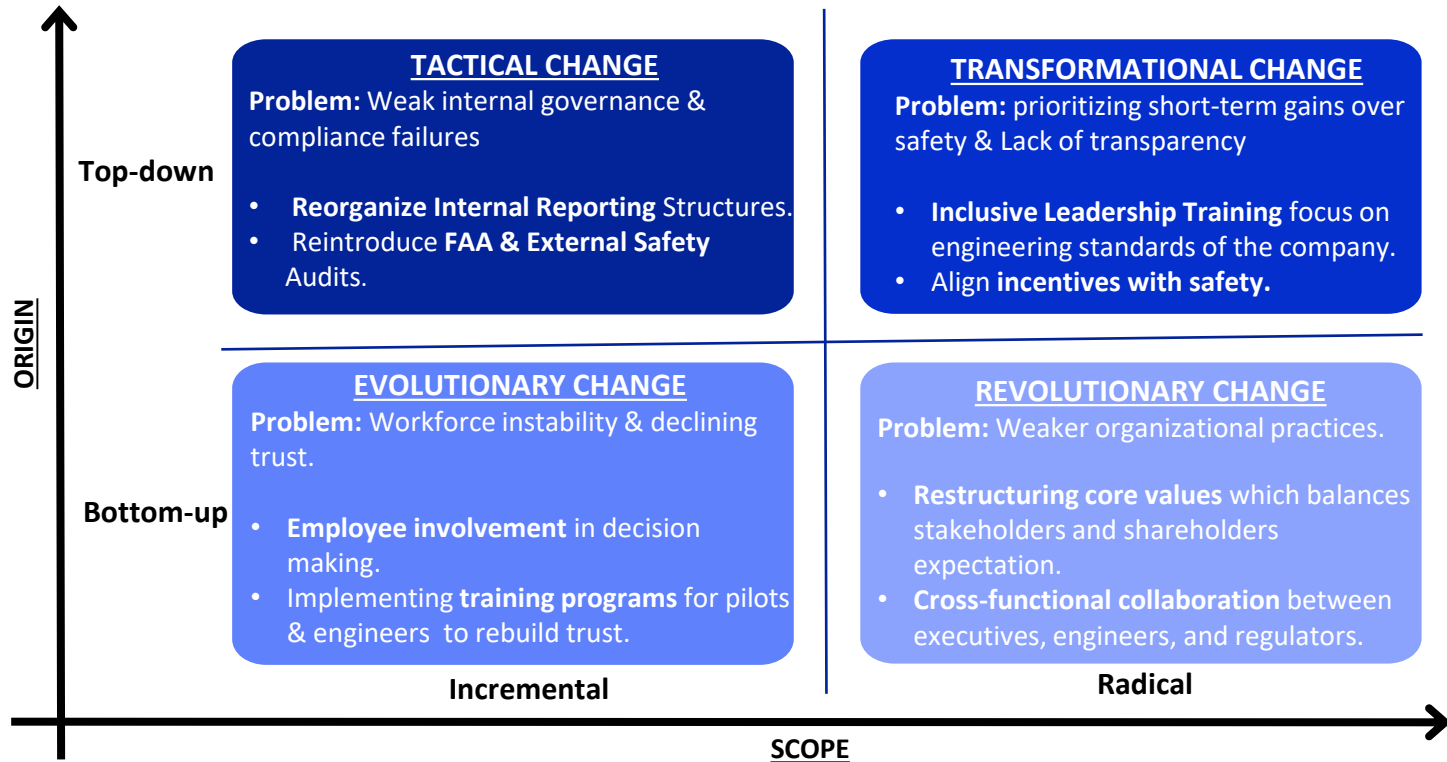


Organizational Behavior & Leadership Solutions



*Boeing must transition from a **profit-first to a safety-first leadership model** to rebuild trust and ensure sustainable success.*
- *FAA's Former Chief Mike Whitaker*

Organizational Change Strategies for Boeing



Barriers to Change & Overcoming Resistance

POTENTIAL CHALLENGES



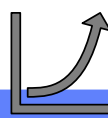
- **Internal Resistance:**
Long-standing corporate norms favoring speed and profit.
- **Supplier Pushback:**
Strict safety standards may slow production
- **Regulatory Complexity:**
Increased FAA oversight may delay aircraft certification

RISK & MITIGATION STRATEGIES



- **Financial Pressures:**
Invest in **long-term quality improvements** to reduce future crises.
- **Market Share Loss:**
Improve **branding and transparency** to rebuild customer trust
- **Cultural Backlash:**
Implement **gradual, well-communicated organizational change** to ease workforce anxiety

CHANGE MANAGEMENT



- **Transparent Reporting:**
Regular updates on Boeing's cultural and structural reforms
- **Stakeholder Collaboration:**
Engage **frontline workers and suppliers** in shaping solutions (E.g. Townhall meeting)
- **Executive Role Modeling:**
Leaders must actively champion and embody safety and ethical values.

The **success** of Boeing's turnaround depends on **effective communication** and **change management** at all levels

		IMPACT		
		LOW	MEDIUM	HIGH
PROBABILITY	VERY LIKELY	Internal workflow issues	FAA penalties	Mass customer defection
	MODERATE	Cost overruns on safety	Supplier pushback	Legal liabilities
	UNLIKELY	Minor Supplier delays	Short-term regulatory scrutiny	Executive turnover

Risk matrix mapping probability vs. impact of various barriers

Conclusion – The Path Forward for Boeing



For Boeing, real change starts at the top—with leadership, culture, and trust—because only a true commitment to these values will decide if we soar higher or stay stuck in past failures.



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